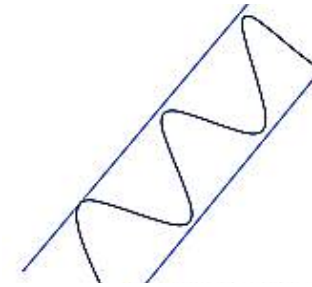


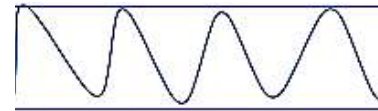
DIFFERENT KINDS OF MARKET

We see that a market can exhibit different phases – up-trending, down-trending and sideways. These also have complicated names i.e. accumulation phase, consolidation phase and distribution phase. But, we will stick to the simpler names. In practice, we will see that different strategies work in different kinds of market. For instance, those that work in up trending market might not work in a sideways market. Those that work in a down-trending market might not work in up-trending markets.

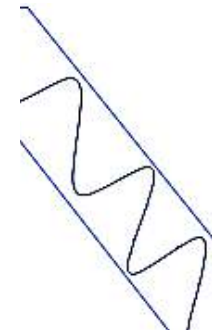
So, to create a system we have to use strategies and determine which strategies will be used in what kinds of markets. Also, it is not required for us to trade in all kinds of markets. We could create a system where we only trade in up trending market and be inactive rest of the time. It could also say that strategy A will be used in up trending, strategy B in sideways and strategy C and D is downtrending. This way, we will define the behaviour of our trading in different kinds of market.



**UPTRENDING
MARKET**



**SIDeways
MARKET**



**DOWNTRENDING
MARKET**